Financial Hardship Assistance Policy

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1. Purpose and scope

This policy sets out how Sample Bank helps individual customers who are temporarily unable to meet their repayments because of job loss, serious illness, disability, the death of a family member or a natural disaster. It applies to the Home Loan, Car Loan, Personal Instalment Loan and Credit Card. It implements the fair-dealing expectations in Notice R-640 on Fair Treatment of Customers in Financial Difficulty.

The policy does not apply to business or corporate facilities, or to customers who are already subject to bankruptcy proceedings.

2. Eligibility

- The customer must have held the facility for at least 6 months before applying.
- The account must not be more than 90 days past due at the time of application.
- The customer must provide evidence of hardship, such as a retrenchment letter, a medical certificate covering at least 30 consecutive days, or a death certificate.
- Each customer may receive hardship assistance at most twice in any rolling 5-year period.

3. Relief measures by product

Table 1: Maximum relief available

Product	Relief measure	Maximum duration	Interest during relief
Home Loan	Principal moratorium (interest-only payments)	12 months	Contractual rate continues
Home Loan	Tenure extension	Up to 5 additional years, not beyond age 75	Contractual rate
Car Loan	Instalment deferral	3 months	Deferred interest added to the loan; no compounding
Personal Instalment Loan	Reduced instalment (50% of normal)	6 months	Rate reduced to 0% during relief
Credit Card	Balance conversion to a 36-month instalment plan	36 months	Fixed 6.0% p.a.
Credit Card	Waiver of late payment fees	6 months	Not applicable

4. Approval authority

Total relief requested	Approver	Turnaround time
Up to SGD 50,000 of deferred payments	Collections team leader	3 business days
SGD 50,001 to SGD 250,000	Head of Collections	5 business days
Above SGD 250,000	Head of Retail Credit	10 business days

Applications that fall outside Table 1 are treated as exceptions under the Responsible Lending Policy.

5. Customer communication

The bank must acknowledge every hardship application within 2 business days and give the customer a written decision. If the application is declined, the letter must state the reason and explain how to request a review. Customers on relief must not be contacted by external collection agencies.

6. Credit reporting

Accounts on an approved relief plan are reported to the credit bureau as "restructured" and not as "delinquent", provided the customer meets the revised payment terms.

7. Monitoring and review

Collections reviews every account on relief 30 days before the relief period ends. Group Risk Management reports hardship volumes and the 12-month re-default rate to the Group Risk Committee every quarter. This policy is reviewed every 2 years, or earlier if Notice R-640 is amended.

8. Record keeping

All hardship applications, evidence and decisions must be kept for at least 5 years after the facility is closed.